

Forbes

JAN 30, 2013 @ 10:00 AM

46,468 👁

Think Consumption Is The 'Engine' Of Our Economy? Think Again.

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When we finally began selling our product to customers, the income generated was barely enough to cover the real costs. We re-invested all of it into new inventory for the business, keeping nothing for ourselves in the hopes of improving our approach. Consumption didn't create our output. Investment did. After an additional year of persistent re-investment, we realized that we would need even more investment to make the business viable.

Our costs were too high per diaper and our local production capacity was too low to keep up with demand. Moms loved weehuggers and we struggled to keep the product in stock. Yet we felt the competition didn't permit us to raise our prices. The only way to make the business grow would have been to secure enough capital to invest in a major manufacturing facility with higher productivity equipment and division of labor. We chose instead to focus on a business where both of us, as former [MTV Networks](#) creatives, believed we could add more value: our new media company [Emergent Order](#).

Our recent video "[Macro Follies](#)" is just one of the fruits of that decision. We followed our passion, but we were also guided through market prices and profits toward the best way for us to create value for others.

Don't Put the Shopping Cart Before the Horse

There is a fundamental illogic to the notion that an economy can be grown by encouraging consumption. When a person consumes, by definition, they use things

up. The very process leaves us with less than before. Growing the availability of valuable goods and services for society by using them up is not just an impossibility—it's an absurdity. Consumption is the goal, but it is production that is the means.

For most of human history, ordinary people had to spend their lives growing food. Today, we have many billions more people on the planet. And yet food is cheaper, better and of greater variety than ever before. Still, almost nobody works in agriculture. We didn't create this wealthy, amazing world... by eating. We did it by saving our seed corn, investing and ultimately inventing our way out of farming jobs. Thank heavens we did.

There are important lessons for public policy that come from these classical insights. Any program which accelerates the consumption of value, or worse, the destruction of value, ultimately make our society poorer. Despite what Keynes and his modern followers claim, [Wars](#), [natural disasters](#), [terrorist attacks](#), [faked alien invasions](#), or programs that encourage us to [destroy our used cars](#) -- all make us poorer. These schemes reduce the amount of valuable goods and services available for society. Some may consider unemployment benefits to be a necessary policy on humanitarian grounds, but they by no means “stimulate” the economy. The recipient, after all, is consuming without producing any value for others. Disincentives for people to be productive, which have [exploded in recent years](#), not only reduce employment, but reduce output and growth as well. This last point used to be widely believed by economists—including the immensely popular and polarizing economist, Paul Krugman, whose [own 2009 textbook](#) blamed extended unemployment benefits as one of the main reasons for decades of European stagnation and high “structural” unemployment. Now, I fear that a decade of Keynesian macro follies may have brought Eurosclerosis to America.

Savings and investment which enable increased productivity, greater specialization and trade are the true engines of economic growth. Increasing consumption is a result of that growth, never the cause of it. If we want sound and sustainable economic growth, each of us has to discover the most valuable ways to serve others and contribute to the supply of wealth before we can take from it. Much like everyone else, even Santa Claus must produce all year long before people get to enjoy their presents.